

9:00 AM

Line 7

25-CIV-08818

CASAHOUSE LLC VS. JACQUELINE YEH, ET AL

CASAHOUSE LLC
JACQUELINE YEH

GLEN A VAN DYKE

Plaintiff's Motion to Compel Arbitration and Stay Litigation

TENTATIVE RULING:

Plaintiff CasaHouse LLC's Motion to Compel Arbitration and Stay Litigation is GRANTED Code Civ. Proc. section 1281.2, as follows:

California law strongly favors arbitration, finding it a speedy and relatively inexpensive manner of dispute resolution. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125; *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 97 (*Armendariz*.) A party to an arbitration agreement may seek a court order compelling the parties to arbitrate a dispute covered by the agreement. (Code Civ. Proc., § 1291.2.) The court must grant the petition to compel arbitration unless it finds the right to compel arbitration has been waived by the moving party; grounds exist for the revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (*Id.*, § 1281.2.) Private arbitration is a matter of agreement between the parties and is accordingly governed by contract law. (*Platt Pacific, Inc. v. Andelson* (1993) 6 Cal.4th 307, 313.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The moving party bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 [citing *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972].)

California courts—applying both the FAA and Code Civ. Proc. § 1281.2 — have developed a well-settled three-step burden-shifting framework for motions to compel arbitration. The burden of persuasion always remains with the moving party to prove the existence of a valid arbitration agreement by a preponderance of the evidence. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158; *Mar v. Perkins* (2024) 102 Cal.App.5th 201.

In the first step, the moving party must first produce prima facie evidence of a written agreement to arbitrate the controversy. (*Mar v. Perkins, supra*, 102 Cal.App.5th 201; *Kostandian v. American Honda Motor Co., Inc.* (2026) 120 Cal.App.5th 872.) This initial showing does not require a full evidentiary presentation; producing the agreement itself, or a copy of it, is typically sufficient to satisfy this threshold. (*Kostandian v. American Honda Motor Co., Inc., supra*, 120

Cal.App.5th 872.)

If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, the opposing party then bears the burden of producing evidence to challenge the authenticity of the agreement in the second step of the analysis. (*Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572; *Kostandian v. American Honda Motor Co., Inc.*, *supra*, 120 Cal.App.5th 872; *Mar v. Perkins*, *supra*, 102 Cal.App.5th 201.) The opposing party may also raise defenses such as unconscionability at this stage. (*Mar v. Perkins*, *supra*, 102 Cal.App.5th 201.)

In the third step of the analysis, if the opposing party produces such evidence, the burden of production shifts back to the moving party, who must then establish with admissible evidence that a valid arbitration agreement exists between the parties. (*Id.*) Despite this shifting burden of production, the burden of proving the agreement by a preponderance of the evidence always remains with the moving party. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158; *Kostandian v. American Honda Motor Co., Inc.*, *supra*, 120 Cal.App.5th 872; *Mar v. Perkins*, *supra*, 102 Cal.App.5th 201.)

Here, the arbitration agreement under which Plaintiff seeks to compel arbitration is contained in the Purchase Contract for a residential property executed November 8, 2023 between Plaintiff CasaHouse LLC as the Buyer and Defendant Jacqueline Yeh as Seller. (Chojnacki Decl., ¶3, Exh. 1.) The arbitration clause states the following:

ARBITRATION OF DISPUTES: By initialing this Paragraph 31B below, Buyer and Seller agree to submit any disputes between them concerning or arising out of this Contract to binding arbitration if those disputes are not resolved by mediation. Arbitration is a dispute resolution process in which the Parties, either on their own or represented by their attorney, submit disputes to a neutral arbitrator. The arbitrator shall be a retired Superior Court judge or a licensed California attorney with at least five years' real estate experience. If the Parties cannot agree on an arbitrator, the Superior Court shall appoint the arbitrator. By agreeing to arbitration, the Parties give up their rights to a trial by judge or jury to appeal, except as provided by California law. Arbitration shall be conducted pursuant to Title 9 of the California Code of Civil Procedure including, but not limited to, the right of discovery under Section 1283.05. The decision of the arbitrator shall be regarded as final and binding on all Parties to the arbitration agreement. The real estate licensees are not required to arbitrate. The Parties are advised to consult with their own qualified California real estate attorney before agreeing to binding arbitration.

"NOTICE: BY INITIALING IN THE SPACE BELOW, YOU ARE AGREEING TO HAVE ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THE 'ARBITRATION OF DISPUTES' PROVISION DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND YOU ARE GIVING UP ANY RIGHTS YOU MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL. BY INITIALING IN THE SPACE BELOW, YOU ARE

GIVING UP YOUR JUDICIAL RIGHTS TO DISCOVERY AND APPEAL, UNLESS SUCH RIGHTS ARE SPECIFICALLY INCLUDED IN THE 'ARBITRATION OF DISPUTES' PROVISION. IF YOU REFUSE TO SUBMIT TO ARBITRATION AFTER AGREEING TO THIS PROVISION, YOU MAY BE COMPELLED TO ARBITRATE UNDER THE AUTHORITY OF THE CALIFORNIA CODE OF CIVIL PROCEDURE. YOUR AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY."

"WE HAVE READ AND UNDERSTAND THE FOREGOING AND AGREE TO SUBMIT DISPUTES ARISING OUT OF THE MATTERS INCLUDED IN THIS 'ARBITRATION OF DISPUTES' PROVISION TO NEUTRAL RRBITRATION."

(*Id.*)

Also on November 8, 2023 Plaintiff CasaHouse LLC as the Buyer and Defendant Jacqueline Yeh as Seller signed a Completed New Construction – Purchase Addendum (the “Purchase Addendum.”) That document contains the following clause relating to arbitration:

MEDIATION AND ARBITRATION: Paragraphs 30 and 31 of the Agreement are modified as follows, unless otherwise agreed to a separate written agreement signed by Buyer and Seller: Buyer and Seller agree that the procedures set forth in Title 7 of Part 2 of Division 2 of the California Civil Code commencing with § 895 shall apply to any construction defect disputes relating to the Property prior to any mediation or arbitration that may otherwise be required by the Agreement.

(*Id.*, at ¶6, Exh. 3, ¶8.)

The Purchase Addendum further provides, under the heading “AGENT FOR NOTICE” that claims and requests for information relating to construction defect allegations are to be made to “Build Home Construction Company. Sam Mohsenzedegar...” (*Id.*, at ¶6, Exh. 3, ¶6.)

It is undisputed that Defendant Build Home Construction, Inc. (“Defendant Build Home”), with which Plaintiff seeks to compel arbitration, is not a party to the Purchase Contract or its arbitration agreement, or to the Purchase Addendum. Plaintiff argues that Defendant Build Home should be estopped from asserting that the Purchase Contract’s arbitration clause should be enforced against it because it has accepted the direct benefits from the Purchase Contract of the application of the Right to Repair Act which would not otherwise have applied. Defendant responds that it is not a builder as defined by the Right to Repair Act, is not a signatory to the contract, and agency, estoppel, and third-party beneficiary exceptions to enforcements against non-signatories do not apply.

The only issue that is contested is whether estoppel applies. As a general principle of contract law, only parties to an agreement are bound by it. (*Ballesteros v. Ford Motor Co.* (2025) 109 Cal. App. 5th 1196; *Goldman v. KPMG, LLP* (2009) 173 Cal. App. 4th 209.) Equitable estoppel acts as an exception to that general principle in the arbitration context in that a defendant

that is not a signatory to the contract containing the arbitration agreement can be compelled to arbitrate when it "knowingly seeks the benefits of the contract containing the arbitration clause." (*Crowley Mar. Corp. v. Bos. Old Colony Ins. Co.* (2008) 158 Cal. App. 4th 1061, 1070-1071, quoting *Zurich American Ins. Co. v. Watts Industries, Inc.* (2005) 417 F.3d 682, 688.)

Plaintiff argues that "Defendant Build Home, consistently for over six months, asserted and voluntarily accepted the "direct benefits" from the Purchase Contract of the application of the Right to Repair Act which would not otherwise apply," and that it therefore should be estopped from asserting that the arbitration agreement cannot be enforced against it. (MP&A at p. 7:16-19.) The parties' Purchase Addendum required Plaintiff to bring construction defect claims pursuant to Civil Code section 895 et seq., and provided that all claims and requests for information relating to construction defect allegations were to be made to Defendant Build Home. (Van Dyke Decl., ¶3.) The parties exchanged communications regarding Plaintiff's claims against the seller, Defendant Jacqueline Yeh, for violation of building standards. (*Id.*, at ¶¶4-12, Exhs. 1-9.) Defendant Build Home contends that it never received a direct benefit from the Purchase Addendum because it did not expect to receive compensation for any repairs and because it did not complete the repairs because Plaintiff refused the offers to repair.

However, Defendant Build Home knew that it was designated as the agent for notice regarding claims for construction defect allegations under the Purchase Addendum. It responded to communications regarding claims for violation of Civil Code 895 et seq., which applied pursuant to the terms of the Purchase Addendum, and elected to exercise rights under that statutory framework, beginning with an August 13, 2025 communication in which counsel indicated they had been retained by Defendant Build Home and, *inter alia*, that Defendant Build Home elected to inspect Plaintiff's residence relating to the alleged building standard violations Pursuant to Cal. Civ. Code § 916(a). (*Id.*, at ¶11, Exh. 8.) This knowing exercise of rights under the statutory framework provided by Civil Code 895 et seq. was exercised pursuant to the terms of the Purchase Addendum. After knowingly seeking the benefit of the contract containing the arbitration clause, Defendant Build Home is estopped from asserting that it is not bound by the arbitration clause.

The Motion is accordingly GRANTED. The parties are ordered to arbitration pursuant to the terms of the Purchase Contract. This action is STAYED pending resolution of arbitration. The Case Management Conference currently scheduled for November 16, 2026, is continued to November 1, 2027 at 9:00 a.m., still before the Civil Commissioner, and is for arbitration status.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

9:00 AM

Line 8

26-CLJ-03355 MUNEERAH CRAWFORD VS. T MOBILE USA INC., ET AL

MUNEERAH CRAWFORD
T MOBILE USA INC.

PRO SE
JOSHUA L. RAYES

Plaintiff's Motion for Leave to File Second Amended Complaint to Add Cause of Action for Financial Elder Abuse

TENTATIVE RULING:

This matter is dropped from calendar. Plaintiff has dismissed the complaint.
